



# MAINS MASTER PROGRAM (MMP) 2024

## INTERNAL SECURITY – 6;

### MONEY LAUNDERING

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## 2. MONEY LAUNDERING

### - Past Year Questions:

- » Discuss how emerging technologies and globalization contribute to money laundering. Elaborate measures to tackle the problem of money laundering both at national and international levels [10 marks, 150 words] [2021]

### - Introduction

- » **Definition:** Money laundering is the process of converting black money to white. Interpol defines money laundering as any act or attempted act to conceal or disguise the identity of illegally obtained proceeds so that they appear to have originated from legitimate source. Money laundering generally involves **3 steps** - Placement, Layering and Integration.
- » **Increasing prominence of Anti-Money laundering laws in 21st century** -> As money laundering has been recognized as a major source for terror funding.
- » **Various methods/tactics of money laundering:** Money laundering has different forms and can be categorized in the following categories:
  - **Structuring/Smurfing:** In this method of placement, the large chunk of cash is fragmented into smaller deposits and are spread out in many different accounts to avoid detection
  - **Bulk Cash Smuggling** can be used to transfer money into jurisdiction which have weak or no anti-money laundering enforcement and greater secrecy
  - **Trade Based Laundering:** This is one of the most common methods, which involves under or over-invoicing to cover up the movement of money
  - **Cash Intensive Businesses:** Here legitimate cash based businesses can inflate daily cash receipts to funnel illegal cash through the restaurant and into the bank
  - **Shell Companies and Trusts** are another popular mechanism of money laundering. Companies are created on papers to show profits and thus illegal money is legalized
  - **Round Tripping:** Money is deposited in a tax haven country and is then later shipped back as a foreign investment (getting tax benefits)
  - **Bank Capture:** Someone having dirty money having interest in a particular bank can use this method to convert black money into white
  - **Black Salaries:** Salary is paid to unregistered employee and thus black/dirty money is used up.
  - **Cryptocurrencies** have opened an altogether new domain to be misused by money launderers. Due to anonymity of cryptocurrencies they are increasingly being used in drug trade and other criminal activities.

### - Hawala and Money Laundering:

- » Hawala transaction is an alternative or parallel remittance system. In this system if a person based in India wants to send money overseas, he may hand it to a middleman. This middleman then asks another middleman in the other country to hand over the pre-decided amount to the eventual beneficiary. This circumvents transfers via formal channels and everything they entail, such as records, invoices and charges.
- » **Hawala transactions** are illegal in India. PMLA 2002 and Foreign Exchange Management Act (FEMA), 1999 are two major legislation which criminalize hawala transactions.

- **Impact of Money Laundering**

1. **Threat to National Security:** Money laundering allows income to be generated from illegal activities like drug-trafficking, arms trade etc and poses threat to National security. It may be used to mobilize funds for terrorist organizations.
2. **Negative Political Impact:** Use of black money / laundered money in politics promotes criminalization of politics and hampers honest politicians.
3. **Threat to Economic Security** -> Evasion of Tax -> Reduces government revenue
  - » It also directs the money to less productive areas of the economy which in turn reduces economic development.
  - » It may also make exchange rate volatile due to unanticipated fund transfers.
  - » Fall in asset price
  - » Hampers employment opportunities as legitimate businesses are not able to compete with illegitimate sources.
  - » Instability in financial sector: For e.g. Yes Bank money laundering case led to the reduction in trust in the Banking institution of the country.
4. **Societal Implications**
  - » When a money launderer is able to get rich and powerful through illegal activities, the **societal attitude towards honesty and integrity takes a dip** and these values are seen as hindering factors in growth of an individual.

- **Preventing Money Laundering:** Prevention of money laundering involves legal provisions and regulations.

1. **Prevention of Money Laundering Act, 2002:** The law has been enacted to combat money laundering in the country. It also provides for confiscation of properties derived from money laundering.
2. **Financial Intelligence Unit - India (FIU-IND):** It was set up as the Central National Agency responsible for receiving, processing, analyzing and disseminating information related to **suspected financial transactions**.
  - It is also responsible for coordinating and strengthening efforts of national and international intelligence, investigation, and enforcement agencies in pursuing the global efforts against money laundering and related crimes.
  - Banks and other financial institutions have been made obligated to record the nature and value of transactions and furnish this information to Financial Intelligence Unit - India (FIU-IND).
4. **Enforcement Directorate**
  - It is a specialized financial investigation agency which is responsible for investigation of economic crimes and violation of foreign exchange laws.
  - **Key functions:**
    - It has the responsibility to enforce PMLA. It conducts investigation to trace the assets derived from proceeds of crime, to provisionally attach the property and to ensure prosecution of offenders.
    - It has also been given the responsibility to conduct investigation into suspected contraventions foreign exchange laws (including FEMA) and regulations. It also adjudicates and impose penalties on those adjudged to be in violation of law.
    - ED is also the implementing agency of the Fugitive Economic Offenders Act. ED can attach the properties of the fugitive economic offenders who have escaped

from India warranting arrest and provide the confiscation of their properties to the Central Government.

- ED has also been entrusted with the implementation of FEOA, 2018.

5. **Narcotic Drugs and Psychotropic Substances Act, 1985:** It provides punishment for property derived from or used in illegal traffic in narcotic drugs.
6. **Fugitive Economic Offenders Act, 2018** -> to deter accused of economic offence from fleeing the country and ensure proper investigation and rule of Law.
7. **International initiatives to fight money laundering**
  1. **Vienna Convention on Money Laundering or (UN Convention Against Illicit Traffic in Narcotics Drugs and Psychotropic Substances):** it is the first major initiative focused on prevention of money laundering. It criminalizes the laundering of money from drug trafficking. It promotes international cooperation in investigations and makes extradition between member states applicable in case of money laundering.
  2. **Financial Action Task Force (FATF):** It is an inter-governmental body focused on combating money laundering and terror financing. It has set up a series of recommendations which are recognized as the international standards for combating money laundering and financing terrorism. The FATF was set up in 1989.
  3. **United Nations Global Program against Money Laundering, Proceeds of Crime and the Financing of Terrorism (GPML)** is a global program providing in-depth assistance to countries to build and strengthen their anti-money laundering and countering financing of terrorism.

- **Key challenges in Preventing Money Laundering:**

- » **Weak Enforcement Mechanism:** Over the past decade, the ED has registered more than 5,000 money laundering cases but completed trials in only 43: As per the report by central agency submitted to the Parliament.
- » **Fast paced change in technology including technologies like crypto currencies** has made it difficult to track money launderers.
- » **Large informal/unorganized sector in India** allows black money to easily get integrated into the system.
- » **International Factors:** Many tax haven countries (like Mauritius) allow setting up of shell companies and money laundering.
- » **Provisions of Financial Confidentiality** in countries like Switzerland - makes it difficult to track money launderers.
- » **Bank KYC** haven't been effective and even now several Benami accounts function in the banks.
- » **Political Misuse:** ED and PMLA has been mostly used as a political tool. This hampers the real work of controlling money laundering in the country.

- **Way Forward**

- » **Implement the law in its true spirit:** Reduce the scope of criticism of political misuse
- » **Use latest advanced technologies** like AI, ML, Blockchain etc to increase the efficiency of enforcement.
- » **Increase coordination** among different enforcement agencies: Regular cross communication and sharing of information.
- » **Reform the global anti-money laundering norms:**
  - Financial confidentiality rules should be restricted in cases of money laundering.

- Facilitate international cooperation to ensure that competent authorities are able to rapidly and effectively take action against money launderers.

### 3. PREVENTION OF MONEY LAUNDERING ACT, 2002

#### 1) BASICS

- The law has been enacted to fulfill India's **global commitment to combat the menace of money laundering**, stemming from trade of drugs and narcotics and organized crime that goes with it. It also provides for **confiscation of properties** derived from money laundering.
- The law provides for **strong punishments** -> Guilty person gets jail term of 3-7 years (upto 10 years in case of offences under NDPS Act, 1985).
  - **Burden of proof** lies on the accused.
- **Bail Provisions are very strict: Two Condition has to be fulfilled:** There should be "reasonable grounds for believing that he is not guilty of such offence" and the accused "is not likely to commit any offence while on bail".
  - **Note:** This twin condition makes it very difficult to get bail.
- In **Nikesh Tarachand Shah vs Union of India (2017)**, the two judge bench of Justices Rohinton Nariman and Sanjay Kishan Kaul, had declared the '**twin test**' of bail under PMLA as unconstitutional since it was manifestly arbitrary. It was held violative of Article 21 and Article 21 of the Constitution. But the provisions were revived by future amendment.

#### 2) 2019 AMENDMENT

- In the view of legal setbacks in high-profile corruption cases like 2G Spectrum scam and Aircel Maxis deal, the government has strengthened the PMLA in July 2019.
- » **What changes have been made?**
  - The amendment seeks to treat **money laundering as a stand alone offence**.
    - Before this, Money laundering wasn't an independent crime; it was dependent on other crime (known as the 'predicate offence' or 'Scheduled offence'), the proceeds of which are made the subject matter of crime of money laundering.
  - The amendment also widens the definition of 'Proceeds of Crime' to include properties and assets created through any criminal activity relatable to the scheduled offence.
  - **Search and seizure** has been made easier under PMLA
    - **Earlier**, there was a **pre-requisite of an FIR or chargesheet** by other agencies that are authorized to probe offences listed under PMLA schedule.
  - An **explanation** has been added in Section 45 that clarifies that all PMLA offences will be cognizable and non bailable.
    - Therefore, ED will be empowered to arrest the accused without a warrant, subject to certain conditions.

#### 3) JULY 2022 SUPREME COURT VERDICT: VIJAY MADANLAL V UNION OF INDIA AND 240 CONNECTED PETITIONS

- **Background:**
  - » The Supreme Court was hearing a batch of 242 petitions that raised questions on different provisions of the PMLA.
    - The petitions claimed that the laws violate personal liberty, procedures of law and constitutional mandate. Some of the petitioners included Mehbooba Mufti, Anil Deshmukh, and Karti Chidambaram, who all claimed that the "*process itself was the punishment*".
- The Supreme Court **upheld the Prevention of Money Laundering Act (PMLA), including its stringent bail conditions that impose a reverse burden of proof on accused;** and provisions dealing with powers of enforcement directorate (ED) regarding arrest, search, attachment and seizures in money laundering offences.
- **Stringent Bail Provisions:** The court held that **state has compelling interest in imposing stringent bail conditions** for economic offences.
  - » The Judgment **upheld the twin conditions for bail in Section 45 of the act.** These were struck down by SC in 2017, but were revived by Parliament by way of amendment.
    - **What arguments were given by petitioners' opposition these twin conditions ->** It renders hope of freedom non-existent for the accused.
  - » The court said that **state has compelling interest in imposing stringent bail conditions for economic offences** and "declaration by the Parliament itself is testimony of compelling necessity to have stringent regime (enactment) for prevention and control of the menace of money laundering."
  - » The court also **relied on Article 39 of the Constitution** that mandates the state to prevent concentration of wealth, to uphold the stringent bail provisions.
- The Court also **upheld the reverse burden of proof condition for grant of bail.**
  - » The court held that "the principle of innocence of the accused/offender is regarded as a human right but that presumption can be interdicted by a law made by the Parliament/Legislature". Presumption of innocence is **not a Constitutional guarantee.**
- The bench **upheld the ED's powers under Section 5 of the Act** to order **provisional attachment of any proceeds of crime.** It said that section 5 provides a balancing arrangement to secure the interests of the person and also ensures that the proceeds of crime remain available to be dealt within in the manner provided by the 2002 Act.
- It held that **ED officials are not "police officials"** and hence a statement recorded by them under section 50 of the act wouldn't be hit by Article 20(3) of the Constitution which guarantees the fundamental right against self-incrimination.
- Enforcement Case Information Report (**ECIR**) **can't be equated with FIR** and supplying ECIR in every case to the person concerned is not mandatory and "it is enough if ED, at the time of arrest, discloses the grounds of arrest".
- The court also **directed the Centre to fill up the vacancies in the PMLA Appellate Tribunal.**



- The question, whether these **amendments could be brought by way of Finance Acts (money bill)** has been left to a "Seven-Judge bench" which is already seized of a similar question in the matter of some other legislations.
- **Analysis: Positives:**
  - » **Broadens the definition of section 3** to cover all activities involved in money laundering.
  - » **Gives more teeth** to the law which would reduce the scope of money laundering in the country.
  - » **Brings clarity** on various provisions
  - » The interpretation is **as per the requirement of international law.** The interpretation of Section 3 has been brought in sync with Vienna and Palermo conventions.
- **Criticism of the Verdict:**
  - » **Fails to protect the personal liberty:**
    - Critics feel that the apex court's upholding of the controversial provisions fall short of judicial standards of reviewing legislative action.
    - In the name of preventing money laundering and fulfilling the mandates of International Conventions, the violation of fundamental rights can't be down played.
    - **Twin conditions** for bail should be applicable only in heinous cases like terrorism (as was upheld in Kartar Singh vs State of Punjab in which twin conditions for TADA was upheld.
  - » The judgement **doesn't do anything against the political misuse** of the law against the opposition political parties. This may weaken the fabric of democracy in India.
    - As of March 2022, the conviction rate of PMLA was only 0.42% clearly highlighting that the law has been rampantly misused.
  - » **Separation of power gets affected:** Search and seizure provisions lack judicial oversight and are exclusively driven by ED officers.
- **Way Forward:**
  - » **Rationalize the list of 'Schedule Offences':** These offences ought to be ideally limited to grave offences such as terrorism, narcotics, smuggling, corruption, and serious forms of evasion of taxes and duties.
    - However, in practice, the list contains offences such as fraud, forgery, cheating, kidnapping, and even copyright and trademark infringements.
  - » **Twin condition for bail** should be applicable in those cases of bail where the offence is of heinous nature.
- **Conclusion:**
  - » Money laundering has the potential of threatening India's internal security, social structure and democracy. Therefore, a stringent law against it is the need of the hour. But, at the same time, this law shouldn't be allowed to be used for political purpose, else, the law itself may become a threat for India's Parliamentary Democracy.